Sectors of the Indian Economy

The big idea

Millions of Indians do millions of different jobs: farming, weaving, teaching, driving, coding. Economists group these activities into **sectors** so that we can study how the economy is changing and where jobs are. This chapter classifies economic activities in three ways: **primary, secondary and tertiary**; **organised and unorganised**; and **public and private**. It also looks at **underemployment** and how to create more jobs.

Primary, secondary and tertiary sectors

THE THREE SECTORS

- **Primary sector**: activities undertaken by **directly using natural resources**: agriculture, dairy, fishing, forestry, mining. Since most natural products we get are from agriculture, dairy, fishing and forestry, this sector is also called **agriculture and related sector**.
- **Secondary sector**: activities in which natural products are changed into other forms through ways of **manufacturing**. It is the next step after primary. The product is not produced by nature but has to be made, so some process of manufacturing is essential, in a factory, workshop or at home. Example: using cotton fibre to spin yarn and weave cloth; using sugarcane to make sugar or gur. Also called the **industrial sector**.
- **Tertiary sector**: activities that **help in the development of the primary and secondary sectors**. These activities do not produce a good but are an aid or support for the production process: transport, storage, communication, banking, trade. Since these generate services rather than goods, it is also called the **service sector**. It also includes services like teachers, doctors, washermen, barbers, cobblers, lawyers, and new

IT-based services like internet cafés, ATM booths, call centres and software companies.

Interdependence: the sectors depend on each other. If farmers refuse to sell sugarcane to a particular sugar mill, the mill will shut down (secondary depends on primary). If a company decides not to buy cotton from India, farmers will be affected. Transport and storage (tertiary) connect them all.

Comparing the three sectors: GDP

FINAL GOODS, INTERMEDIATE GOODS AND GDP

- **Final goods**: goods that reach the consumer (e.g., biscuits).
- **Intermediate goods**: goods used up in producing final goods (e.g., wheat and flour used in biscuits). Their value is already included in the final good's value.
- To avoid **double counting**, only the value of final goods and services is counted.
- **Gross Domestic Product (GDP)**: the **value of all final goods and services produced within a country during a particular year**. It shows how big the economy is. In India, the task of measuring GDP is undertaken by a central government ministry (the **Ministry of Statistics and Programme Implementation**, through its National Statistical Office, earlier the Central Statistical Organisation), with help from state and union territory departments.

Historical change in sectors. In the early stages of development of most countries, the **primary sector** was the most important. As methods of farming changed and agriculture prospered, more food was produced; people took up other activities, and the **secondary sector** gradually became more important (industrialisation). In the past 100 years, there has been a further shift from secondary to **tertiary** in developed countries; the service sector has become the most important in terms of total production and employment.

India: over the forty years between 1973–74 and 2013–14, production increased in all three sectors, but it increased the most in the tertiary sector. As a result, in **2013–14**, the **tertiary sector emerged as the largest producing sector** in India, replacing the primary sector.

WHY IS THE TERTIARY SECTOR GROWING SO FAST?

1. Basic services such as **hospitals, educational institutions, post and telegraph, police stations, courts, village administrative offices, municipal corporations, defence, transport, banks and insurance** are required in any country; the government takes responsibility for providing them.
2. **Development of agriculture and industry** leads to development of services like transport, trade and storage.
3. As income levels rise, people demand more services: **eating out, tourism, shopping, private hospitals, private schools, professional training**.
4. Over the past decade, new services based on **information and communication technology** have become important and essential. But not all of the service sector is growing equally: it includes highly skilled, well-paid workers as well as a very large number of workers in small shops, repair shops and transport, who barely manage to earn a living.

Where are most people employed? Even though the share of the primary sector in GDP has fallen sharply, it remains the **largest employer**. In 2017–18, nearly **44%** of workers were in the primary sector, while it produced only about a sixth of GDP. The secondary and tertiary sectors produce most of the output but employ fewer people. Not enough jobs were created in the secondary and tertiary sectors.

Underemployment (disguised unemployment)

DISGUISED UNEMPLOYMENT

A situation where **more people are working than are needed**, so that if some workers are removed, total output does not fall. Each person seems to be working, but no one is fully employed; their labour effort is divided. Example: a small farm needs only three people, but five family members work on it; removing two would not reduce production. This is **hidden**, unlike someone clearly without a job. It is common in **agriculture**, and also in the service sector in urban areas (e.g., painters, plumbers, repair persons, street vendors who search for work daily).

How to create more employment:

- Provide **cheap credit** and build **wells, check dams and canals** for irrigation in villages; more land can be cultivated, and dams create jobs.
- Invest in **transport and storage**: roads and rural cold storage help farmers sell produce to markets and create jobs in transport and trade.
- Set up **agro-processing industries** (e.g., dal mills, cold storage, honey collection centres, vegetable and fruit processing) in semi-rural areas.
- Promote **tourism, regional crafts, IT** and other services; every state can develop these.
- Expand **education and health** services, which need many teachers and health workers.

MGNREGA 2005

The central government made a law implementing the **Right to Work** in about **625 districts** of India (NCERT figure): the **Mahatma Gandhi National Rural Employment Guarantee Act, 2005**. Under it, all those who are able to and need work in rural areas are **guaranteed 100 days of employment in a year** by the government. If the government fails to provide employment, it will give **unemployment allowance** to the people. The types of work that would in future help increase production from land are given preference. **One-third of the proposed jobs are reserved for women**.

Organised and unorganised sectors

Organised sector	Unorganised sector
Enterprises or places of work where the **terms of employment are regular**, so people have **assured work**	Small and scattered units **largely outside the control of the government**
Registered by the government and have to follow its rules and regulations (Factories Act, Minimum Wages Act, Payment of Gratuity Act, Shops and Establishments Act)	Rules and regulations exist but are **not followed**
Workers enjoy **job security**, fixed working hours, **overtime pay**, **paid leave**, payment during holidays, provident fund, gratuity, medical benefits, safe working environment and pension after retirement	Jobs are **low-paid and often not regular**; no provision for overtime, paid leave, holidays or leave due to sickness; **no job security**; workers can be asked to leave without any reason
Example: government employees, workers in registered factories and large companies	Example: daily wage labourers, small shopkeepers, street vendors, domestic workers, workers in small workshops

Protecting workers in the unorganised sector. Since the 1990s, many workers have lost jobs in the organised sector, so they take up jobs in the unorganised sector with low earnings. Besides the need for more work, workers in the unorganised sector need **protection and support**:

- In **rural areas**, the unorganised sector mostly comprises **landless agricultural labourers, small and marginal farmers, sharecroppers and artisans** (weavers, blacksmiths, carpenters, goldsmiths). They need support through timely delivery of seeds, agricultural inputs, credit, storage facilities and marketing outlets.
- In **urban areas**, it comprises workers in small-scale industry, casual workers in construction, trade and transport, street vendors, head-load workers,

garment makers, rag pickers. Small-scale industry needs government support for procuring raw material and marketing output.

- Casual workers in both rural and urban areas need protection.
- A majority of workers from **Scheduled Castes, Scheduled Tribes and backward communities** find themselves in the unorganised sector, facing social discrimination too. Protection and support are needed for both economic and social development.

Public and private sectors

Public sector	Private sector
The **government owns most of the assets** and provides all the services	**Ownership of assets and delivery of services** is in the hands of **private individuals or companies**
Motive is **not just to earn profits** but **public welfare**	Activities are guided by the **motive to earn profits**
Examples: **Indian Railways, post office**, BHEL, SAIL	Examples: **Tata Iron and Steel Company Ltd (TISCO), Reliance Industries Ltd (RIL)**

Why the government must provide some services:

- There are several things society needs that the **private sector will not provide at a reasonable cost** because of the huge spending needed: construction of **roads, bridges, railways, harbours, generating electricity, providing irrigation through dams**. The government raises money through taxes and undertakes such heavy spending, ensuring facilities are available for everyone.
- Some activities need government support even if private industries can do them: e.g., selling **electricity at low rates** helps small-scale industries. The government buys **wheat and rice from farmers at a 'fair price'**, stores them in godowns and sells them at a lower price to consumers through **ration shops**, bearing part of the cost.

- Providing **health and education facilities** for all; running proper schools and providing quality education, particularly elementary education. India's large number of children dropping out and the need for quality health facilities in rural areas make this essential. The government also pays attention to **human development** aspects such as availability of safe drinking water, housing for the poor, food and nutrition.

CLASSIFYING BY OWNERSHIP VS BY NATURE OF ACTIVITY

Primary/secondary/tertiary is based on the **nature of activity**. Organised/unorganised is based on **conditions of employment**. Public/private is based on **ownership of assets**. Don't mix up the criteria in classification questions.

BOARD FAVOURITES

"Distinguish organised and unorganised sectors" (3 marks), "Why is the tertiary sector becoming important?" (5 marks), "What is disguised unemployment? Give an example", "Explain MGNREGA 2005", "How can more employment be created in rural areas?", "Why should the government run some activities?", "How are the three sectors interdependent?".

Quick recap

- Primary (natural resources), secondary (manufacturing), tertiary (services that support production).
- GDP: value of final goods and services produced within a country in a year; avoid double counting.
- Tertiary became the largest producing sector by 2013–14; primary is still the largest employer.
- Disguised unemployment: more people working than needed; common in agriculture.

- MGNREGA 2005: 100 days of guaranteed work; unemployment allowance; one-third jobs for women.
- Organised (regular, registered, secure) vs unorganised (irregular, unprotected); public (welfare) vs private (profit).

Practice questions

1. Which of these activities belongs to the tertiary sector?
   (a) Fishing (b) Weaving cloth in a factory (c) Banking (d) Mining
2. GDP is the value of
   (a) all goods and services including intermediate goods (b) all final goods and services produced within a country during a year (c) only exports of a country (d) only goods produced by the government
3. A family farm needs only three workers, but five members work on it. This is an example of
   (a) seasonal unemployment (b) educated unemployment (c) structural unemployment (d) disguised unemployment
4. Under MGNREGA 2005, rural households are guaranteed employment of
   (a) 50 days a year (b) 100 days a year (c) 150 days a year (d) 365 days a year
5. Which of these is a feature of the organised sector?
   (a) Workers get paid leave, provident fund and job security (b) Employment is irregular and low paid (c) Units are not registered with the government (d) Workers can be removed without any reason
6. Indian Railways is an example of
   (a) private sector (b) unorganised sector (c) public sector (d) primary sector
7. In 2013–14, which sector emerged as the largest producing sector in India?
   (a) Primary (b) Secondary (c) Public (d) Tertiary
8. Distinguish between the organised and unorganised sectors.
9. Why is the tertiary sector becoming so important in India? Give five reasons.

Answers: 1. c 2. b 3. d 4. b 5. a 6. c 7. d 8. see notes 9. see notes